

7. “I have approximate answers, and possible beliefs, and different degrees of uncertainty about different things. But I am not absolutely sure of anything and there are many things I don’t know anything about. I don’t feel frightened not knowing things.”—Professor Richard Feynman

One of the greatest minds in physics was also one of the wisest thinkers about thinking. His willingness to admit “I don’t know” was unusual. Knowing what you know helps, but awareness of what you do not know means fewer blind spots, and reduced likelihood of surprise.

Decision-making is a two-step process: First we make a decision, then we have to decide how much weight or confidence to have in that decision. We often forget the second step.

8. “Being right may be a necessary condition for investment success, but it won’t be sufficient. You must be more right than others... which by definition means your thinking has to be different.”—Howard Marks, Oaktree Capital

Marks is referring to “second-level thinking,” which means thinking beyond the news to how market participants will *react* to that news.

Jane Street Trading managed to figure out state-by-state results in the 2016 Presidential election minutes before the major cable channels did.^{[117](#)} This allowed them to trade ahead of everybody, making \$300 million overnight shorting equity futures. But they failed to fully think through the results of the election—tax cuts and stimulus spending!—and when the markets reversed, their giant win turned into the firm’s biggest loss ever.

Second-level thinking requires going past the first recognition, beyond what is obvious. Merely figuring out what happens is not enough; markets are a hall of mirrors, and each new piece of information sets off a cascade of reflexivity, actions and reactions that are nearly impossible to predict. Those